



2023 Insurance Diversity Index

Methodology Report

California Department of Insurance
Insurance Diversity Initiative
October 2023



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Table of Contents

- 03** - History & Purpose
- 04** - About Us
- 05** - The Data: Sources and Standards
- 06** - Overview - Diversity Index Metrics
- 07** - Board Diversity Metrics
- 09** - Supplier Diversity Metrics
- 11** - Community Investment Impact Metrics
- 13** - Appendix A: 2023 Insurance Diversity Index Results
- 19** - Acknowledgments

History & Purpose

In 2020, California Insurance Commissioner Ricardo Lara convened leaders of the Insurance Diversity Task Force to embark on a bold strategic plan to align intentional actions with measurable outcomes in order to impact change within California's \$409 billion insurance industry.

At the core of the **Insurance Diversity Index (Index)** is the notion of transparency because we understand that knowledge is powerful. Access to information enables consumers to make informed choices when it comes to how they choose to exercise their purchasing power. Likewise, the rise of conscious consumerism¹ spurs companies to listen and evolve. When insurance company leaders choose to align their DEI goals with actions, attention and intentions begin to shift. **This is how progress happens.**

Progress is a journey that requires sustained commitments to diversity, equity, and inclusion. The evolving COVID-19 global public health crisis compounded by unyielding racial injustices marked by an ever-widening racial wealth gap continue to demonstrate the need to create greater opportunities for California's diverse communities. As companies embark upon or double down on their DEI goals, it is also equally meaningful to see how those initial commitments translate into tangible outcomes.

The Insurance Diversity Index is intended as a benchmarking tool that offers California admitted insurance companies the opportunity to understand where they stand on their DEI journey, while also providing consumers with information on the level of progress that companies are making on its commitments to policies and practices that advance three key areas: diversity in the corporate boardroom, supplier diversity, and California community impact investments.



Our Objectives

An intentional focus on advancing the core tenets of diversity, equity, and inclusion can enable companies to navigate an increasingly complex and interconnected world. The Insurance Diversity Index is intended to:

- 1. Increase Transparency:** Equip consumers and industry leaders with information that empowers informed choices.
- 1. Measure Progress:** Provide an opportunity to measure the strides and understand key trends in policies and practices that enable greater diversity, equity, and inclusion in the insurance industry; and
- 3. Foster Accountability:** Shine a light on areas of improvement that companies and the insurance industry as a whole can strive towards in order to address gaps and advance diversity, equity, and inclusion in the communities that they serve.

1. Conscious consumerism - This term refers to the increasing number of consumers who are making conscious choices about what, why and how to buy products and services, based on their social, environmental, and economic impact, and which companies and brands consumers are going to support with their money and time. Source: Deloitte. Conscious Consumerism. Published February 9, 2023. <https://www2.deloitte.com/content/dam/Deloitte/nl/Documents/deloitte-nl-consumer-conscious-consumerism-report-finaal.pdf>

Why Now?

In the last few years, business success and economic advancement depend on transparency. Both employees and customers are demanding greater transparency from the companies they work for and buy from. The demand goes beyond labeling transparency as "good," but rather necessary and effective for positive change." Management teams can be held to account for delivering on their commitments. Investors can mobilize capital and make a difference based on accurate information.

Policy makers, employees and customers can make better decisions thanks to better information." Company disclosures generate transparency of procurement through diverse suppliers, and the diversity of their corporate boards. As the world prioritizes ethical diversity, equity, and inclusion practices, we are seeing companies that work to drive positive change grow at higher speeds.¹



Diversity embedded within an organization and reinforced by a culture of equity and inclusion positively impacts insurers' corporate governance and risk management by improving decision making...



- International Association of Insurance Supervisors
Stocktake on Diversity, Equity, and Inclusion Report - December 2022

About Us

The **Insurance Diversity Index (Index)** is a project of the nationally-recognized **Insurance Diversity Initiative (Initiative)** at the California Department of Insurance.

Established in 2011, the Initiative focuses on transparency efforts that encourage increased economic opportunities by advancing diversity in corporate governance, and increased procurement from diverse businesses owned by women, LGBTQ+ people, veterans, disabled veterans, and historically underrepresented people. As part of the Initiative's key priorities, the Department administers surveys to understand the state of supplier and board diversity within California's \$409 billion insurance industry. For board and supplier diversity metrics, the IDD utilizes data from insurance company reports in the 2022 California Insurance Diversity Survey (CAIDS) – a biennial survey that mandates reporting from California admitted insurers that collected California premiums of \$75 million (\$75,000,000) or more in 2020 and/or 2021. (See California Insurance Code section 927 et seq.).

For more information about the Insurance Diversity Initiative, visit www.insurance.ca.gov/diversity.

The **California Organized Investment Network (COIN)** serves as a national model for leadership to increase insurance industry investment in underserved and rural communities throughout California. To determine an insurance company's impact investments, data is derived from the 2021 COIN Community Investment Survey (CIS) Data Call. California admitted insurance companies with annual premiums written in California of at least \$100 million dollars (\$100,000,000) are required to report on their company's community development investments, community development infrastructure investments, and green investments made in California. (See California Insurance Code Section 926.2).

For more information about COIN, visit: www.insurance.ca.gov/COIN.

1. Moritz, Bob. PricewaterhouseCoopers Int. How a Community of Solvers Can Help Make Rapid Progress on ESG Transparency. Published November 4, 2021. Retrieved from <https://www.linkedin.com/pulse/how-community-solvers-can-help-make-rapid-progress-esg-moritz/>

Industry Data & Key Findings: At a Glance



California's insurance industry is the **largest in the United States** and second largest in the world



14% of 122 companies achieved a **Gold** Insurance Diversity Index designation



Insurers collect **\$409 billion** in annual premiums in California in 2021



On average, insurance companies achieved a **Silver** Insurance Diversity Index designation



California insurance companies spent **\$3.1 billion** with diverse suppliers in 2021



Based on the current rate of change in gender diversity, it will take at least **50 years to reach gender parity** among insurance company boards

The Data Source: Department Data Calls

The **California Department of Insurance** is the consumer protection agency for the nation's largest insurance marketplace and safeguards all of the state's consumers by fairly regulating the insurance industry. Under the Commissioner's direction, the Department uses its authority to protect Californians from insurance rates that are excessive, inadequate, or unfairly discriminatory, oversee insurer solvency to pay claims, set standards for agents and broker licensing, perform market conduct reviews of insurance companies, resolve consumer complaints, and investigate and prosecute insurance fraud.

The **Insurance Diversity Index** includes data obtained from the 2022 California Insurance Diversity Survey (CAIDS) and 2021 COIN Community Investment Survey (CIS) Data Call. The CAIDS mandates reporting from admitted insurance companies with written California premiums of \$75 million or more to submit a report with information regarding their supplier and governing board diversity efforts. A total of 376 (2020) and 386 (2021) companies reported. The CIS mandates participation from admitted insurance companies with written California premiums of \$100 million or more to submit a report with information regarding its community development investments made in California.

IMPORTANT NOTE: Unless otherwise noted, all data used for the purposes of this report is self-reported by the respondent insurance companies and is not verified by the California Department of Insurance, the Initiative, or COIN. The CAIDS requires companies to electronically sign an affidavit attesting to the accuracy of the information contained in the surveys at the time of submission. Data is analyzed by the California Department of Insurance's Data Analytics & Research Division to ensure appropriate statistical validation. All data provided in response to the California Insurance Diversity Survey and/or Community Investment Survey is a direct result of the information contained in the submitted reports. This report is intended for informational purposes only.

IMPORTANT NOTE ON DATA SET: For the purposes of the Insurance Diversity Index, among companies that were required to report in 2020 and 2021 or 2021 only, the 2021 dataset was utilized in the allocation of points for both supplier and board diversity metrics. For companies that were required to submit reports in 2020 only, the 2020 dataset was utilized in the allocation of points for both the supplier and board diversity metrics.

Overview - Insurance Diversity Index Metrics

The metrics used by the Index methodology are an analysis of data points taken from both the California Insurance Diversity Survey and the California Organized Investment Network data call. Both data calls are conducted in accordance with its respective statutory authority under California law.

- **Board Diversity Metrics (BDM)** – This aspect of the Index considers an insurance company's self-reported data with respect to gender, race/ethnicity, LGBTQ+, veteran, and disabled veteran demographic composition in board representation; and board-level policies, programs, and practices focused on advancing board diversity. The BDM is intended to provide insurance companies a means to benchmark progress and/or opportunities that their board should strive towards to adequately represent the diversity of California's consumer population. (Maximum 50-Point Scale).
- **Supplier Diversity Metrics (SDM)** – This aspect of the Index considers an insurance company's self-reported data on its spend with diverse business enterprises owned by women, LGBT+ people, disabled veterans, veterans, and historically underrepresented groups; and company-wide policies, programs and practices aimed at advancing supplier diversity. The SDM is intended to provide insurance companies a means to benchmark the level of progress and/or opportunities that their company made to create greater equity for diverse business enterprises led by women, LGBTQ+ people, disabled veterans, veterans, and historically underrepresented people. (Maximum 50-Point Scale).
- **California Impact Investment Metrics (CIIM)** – This aspect of the Index considers an insurance company's self-reported data with respect to its participation in the COIN program by assessing its community impact investments and engagement with COIN. The ensuing economic crisis caused by the COVID-19 pandemic has been challenging to hard-working families, small businesses, and communities. California's low to moderate-income diverse communities and small businesses were and have continued to be, hit the hardest. COIN sources and structures investments for insurers that are designed to yield positive social or environmental impact in California. In turn, these investments support renewable energy projects, affordable housing opportunities, health centers, economic development, jobs, and numerous other social and environmental benefits in the state. (Bonus 5 -Point Scale).

Insurance Diversity Index	Score Range
Platinum	91 -100+
Gold	81 - 90
Silver	71 - 80
Bronze	61 - 70

Board Diversity Metrics

In the past few years, arguably no other major issue in corporate governance has risen up as ubiquitously across the nation as that of gender diversity in the boardroom. In fact, the [PwC's 2022 Annual Corporate Director Survey](#) found 43% of directors surveyed believed there should be equality or near-equality (41-50% women), and another 43% believed it should be 21-40% women.¹ However, among the Russell 3000, only 28% of boards have at least one-fifth of their respective seats held by women—and only 1.7% have at least two-fifths held by women. And in 2022, 17% of CAIDS respondent companies reported zero gender diversity and 31% reported zero racial/ethnic diversity on their boards.

Applied Principles - Critical Mass + Gender Balance

Critical Mass Theory: Critical mass theory finds that relative numbers matter in terms of the dynamics of demographically heterogeneous groups. A term borrowed from physics, critical mass identifies thirty percent as the relevant point at which it is said that “a large minority can make a difference, even if still a minority.”² Studies indicate that a critical mass of three or more women can cause a fundamental change in the boardroom and enhance corporate governance.³ As such, points were awarded as companies reached or exceed critical mass ratios. Based on the Department's preliminary analysis of the 2022 CAIDS results, it will take another 14 years, if progress continues at this same rate, for boards to reach a critical mass within the California insurance industry.

Gender Balance: Gender balance concerns relative equality in terms of numbers and proportions of women and men, girls and boys, and is often calculated as the ratio of female-to-male values for a given indicator.⁴ In the context of gender equality on insurance boards, gender balance refers to the equal representation of women and men board members. As such, maximum points possible for the gender diversity sub-metric were assigned to those companies who reached (or exceeded) gender balance. According to our analysis of the 2022 CAIDS results, it will take another 59 years, if progress continues at this same rate, for boards to achieve gender parity within the California insurance industry.

Insurance Diversity Index Methodology - Board Diversity

The Index Methodology recognizes companies that have committed to propelling board diversity by pairing its intentions with tangible actions & priorities. With this in mind, when establishing the metrics for board diversity demographics, we considered diversity along the following dimensions: gender, race/ethnicity, LGBT self-identification, and veteran/disabled veteran status of board directors. The Index adopts principles of critical mass and gender balance when allocating points for gender diversity.

We also recognize the value in corporate governance practices with the goal of advancing diversity, such as a company's active engagement efforts to diversify its board, diversity as part of the board's formal evaluation criteria in assessing prospective director candidates, diversity as part of its charter/governance guidelines, and whether or not the company has measurable goals to add at least one diverse* board member to its board.

Board Diversity Sub-Metric Criteria		Maximum Point Value (50)
A.	Gender Diversity	6.25
B.	Race/Ethnic Diversity	6.25
C.	LGBT+ Diversity	6.25
D.	Veteran/Disabled Veteran Diversity	6.25
E.	Actively engaged in outreach efforts to diversify boards	6.25
F.	Diversity as part of formal evaluation of prospective board director candidates	6.25
G.	Charter/governance guidelines include board diversity goals	6.25
H.	Measurable goals to add 1+ diverse board member	6.25

NOTE: Source data obtained from the 2022 CAIDS. Board demographic data is voluntarily self-reported by board members of respondent insurance companies. Insurers are required to provide specific disclosures to board members as prescribed under California Insurance Code section 927.3. Among those provisions, no adverse action may be taken against the board member or the insurer if the board member declines to participate in the survey, and that the aggregate data collected for each demographic category will be reported.

* A “diverse board member” means an individual who self-identifies as a woman, nonbinary, Black, African American, Hispanic, Latino-Latina, Asian, Pacific Islander, Native American, Native Hawaiian, Alaskan Native, veteran or disabled veteran, lesbian, gay, bisexual, transgender, or queer.

1. Annual Corporate Directors Survey 2022: PwC. Retrieved from <https://www.pwc.com/us/en/services/governance-insights-center/library/annual-corporate-directors-survey.html>.

2. Noonan, David. “The 25% Revolution—How Big Does a Minority Have to Be to Reshape Society?” *Scientific American*, 8 June 2018, Retrieved from www.scientificamerican.com/article/the-25-revolution-how-big-does-a-minority-have-to-be-to-reshape-society/

3. Kramer, V. W., Konrad, A. M.; Erkut, S. (2006). Critical mass on corporate boards - wcwonline.org. Critical Mass on Corporate Boards: Why Three or More Women Enhance Governance . Retrieved from <https://www.wcwonline.org/pdf/CriticalMassExecSummary.pdf>

4. European Institute for Gender Equality. 2019. “Gender balance”. In: Glossary & Thesaurus. Retrieved from <https://eige.europa.eu/thesaurus/terms/1148>

Board Diversity Metrics

Sub-Metric Comments:

For all respondent companies, point values are allocated based on the reported responses to the 2022 California Insurance Diversity Survey (CAIDS), with a "YES" or "Y" response indicating the presence of the diversity attribute of the corresponding board demographic, practice, and/or policy. As part of the CAIDS, Insurers must provide mandatory disclosures to each board member, prior to, or concurrently with, the survey.

Disclosures to board members must notify the board member that the board member's decision to disclose their demographic information is voluntary, that no adverse action may be taken against the board member or the insurer if the board member declines to participate in the survey, and that the aggregate data collected for each demographic category will be reported.

Board Diversity Demographics

Gender Diversity: This demographic attribute is measured as the percentage of board directors who self-identify as women or nonbinary relative to the total number of board seats. 2022 CAIDS data reveals that while women presently occupy less than a quarter (23.8%) of more than 1,600 insurance company board seats, 17% of companies reported that their boards did not have any women. Extensive research indicates that increasing the representation of women is in line with good corporate governance. In applying the principles of critical mass (30% or more) and gender balance (50/50 gender ratio), points were based on our analysis of the company's reported data of its board demographics with respect to gender. **Points were allocated in tiers, as follows: 1 woman board member: +1.25 points; 11-19% women board members: +2.5 points; 20-29% women board members: +3.75 points; 30-49% women board members: +5 points; 50%+ women board members: +6.25 points.**

Racial/Ethnic Diversity: This demographic attribute is measured as the percentage of board seats occupied by directors who self-identify as Black, African American, Hispanic, Latino-Latina, Asian, Pacific Islander, Native American, Native Hawaiian, Alaskan Native, or Multi-Ethnic relative to the total number of board seats. Representation among ethnically diverse board members continues to remain a challenge within the insurance industry, and is not reflective of the U.S. population. **Points were allocated in tiers as follows: 1 racially/ethnically diverse board member: +1.25 points ; 11-19% racially/ethnically diverse board members: +2.5 points; 20-29% racially/ethnically diverse board members: +3.75 points; 30-49% racially/ethnically diverse board members: +5 points; 50%+ racially/ethnically diverse board members: +6.25 points.**

LGBT+ Diversity: Representation remains disproportionately low and unchanged from 2020 to 2021 among the less than 1% of board members who self-identify as LGBT, as reported on the 2022 CAIDS. **Companies with a board that included at least one member who self-identifies as LGBT+ earned 6.25 points.**

Veteran/Disabled Veteran Diversity: Whereas the 2020 Census data indicated that veterans (including disabled veterans) make up 7% of the U.S. population, board members who self-identify as veterans and/or disabled veterans remains low. In 2021, board members who self-identify as veterans comprised only 4.1% of board directors, while those who self-identify as disabled veteran remain largely underrepresented, accounting for only less than half of a percentage point. **Companies with a board that included at least one member who self-identifies as a veteran/disabled veteran earned 6.25 points.**

Board Diversity Policies & Practices

Actively Engaged in Outreach Efforts to Diversify Boards: Actions speak louder than words, therefore points were allotted to companies that engaged in active outreach to diversify their boards (regardless of a vacancy) as part of its board recruitment. Based on our analysis of the CAIDS data, in 2020 & 2021, on average, boards that engaged in diversity outreach efforts had a 10% to 11% increase in gender diversity on the board. Types of outreach included direct outreach to prospective candidates, internal & external networking events, speaking engagements, promotions at professional membership organizations and/or events, board mentorship program, etc. **Point Values: N = 0 Pts/Yes = 6.25 Pts**

Diversity as Part of Formal Evaluation of Prospective Board Director Candidates: Including diversity as an attribute in the formal evaluation of a prospective board candidate as part of a board's recruitment practice demonstrates how boards align their intentions with actions that will help companies drive their commitments to diversity. In turn, this practice helps foster a more inclusive candidate search. Based on our analysis of the CAIDS data, in 2020 and 2021, on average, boards that used diversity as an evaluation criteria when assessing prospective board directors had 4% to 4.8% more gender diversity on the board. **Point Values: N = 0 Pts/Yes = 6.25 Pts**

Charter/Governance Guidelines Include Board Diversity Goals: A "board diversity policy statement" is any language that refers to an insurer's corporate governance policy or guidelines, with the goal of increasing governing diversity on the insurer's board of directors. Board diversity language as part of an insurer's corporate governance policy describes how the board considers gender, ethnicity, race, age, geographic location, sexual orientation, skills, and experience when identifying director candidates and throughout the nomination process. The charter/governance guidelines provide the direction and goals for the company's board. Thus, points were allotted to company whose charter/governance guidelines listed board diversity as one of its goals. **Point Values: N = 0 Pts/Yes = 6.25 Pts**

Measurable Goals to Add 1+ Diverse Board Member: Establishing a measurable goal to add a diverse board member is a quantifiable indicator that a company is prioritizing board diversity with clearly-established accountability metrics. Points were allotted for companies that had (a) measurable goal(s) to add one or more diverse board member(s) within a 24-month period. **Point Values: N = 0 Pts/Yes = 6.25 Pts**

Supplier Diversity Metrics

The business case for advancing supplier diversity has never been more compelling. In a recent article by McKinsey, "increasing the diversity of suppliers has become more urgent at a time when social issues strongly influence business growth."¹ According to the latest findings, the economic impact of supplier diversity is a key driver in stimulating wealth creation and improving intergenerational outcomes. While some industries have made great strides, some of the fastest-growing and most profitable industries still have a long way to go, including those in the financial services & insurance sectors.

In 2022, the California Department of Insurance surveyed 386 companies on its supplier diversity and procurement efforts as part of the California Insurance Diversity Survey (CAIDS) administration. We utilized data from the 2022 CAIDS to create the rubric on Supplier Diversity Metrics. Points were allocated based on company survey responses of its intentions & action-oriented commitments to supplier diversity, including its outreach to diverse suppliers, existence of a supplier diversity policy statement, existence of internal supplier diversity goals, the extent to which the company met or surpassed the median diverse spend, and whether or not a company linked their supplier diversity goals to the overall strategic plan/goals of the company.

Supplier Diversity Sub-Metric		Maximum Point Value (50)
A.	Conducts diversity outreach	6.25
B.	Provision of a supplier diversity policy statement	6.25
C.	Provision of a supplier diversity program	6.25
D.	Meets median diverse spend	6.25
E.	Tracks tier 2 procurement spend	6.25
F.	Requires/encourages primary suppliers to subcontract with diverse businesses	6.25
G.	Sets Internal supplier diversity goals	6.25
H.	Provision of supplier diversity goals linked to overall company's strategic plan and/or goals	6.25

1. Prilepok, Milan, et al. "Expand Diversity among Your Suppliers--and Add Value to Your Organization." McKinsey & Company, McKinsey & Company, 14 July 2022, <https://www.mckinsey.com/capabilities/operations/our-insights/expand-diversity-among-your-suppliers-and-add-value-to-your-organization>.

Supplier Diversity Metrics

Sub-Metric Comments:

For all respondent companies, point values are allocated based on the reported responses to the 2022 California Insurance Diversity Survey (CAIDS), with a "YES" or "Y" response indicating the presence of the practice, and/or policy associated with supplier diversity.

Supplier Diversity Policies & Practices:

Conducts Diversity Outreach: Actions speak louder than words, therefore points were allotted to companies that engaged in active outreach to connect with, and potentially procure from, diverse suppliers. **Point Values:** N = 0 Pts/Yes = 6.25 Pts.

Provision of a Supplier Diversity Policy Statement: Generally, a supplier diversity policy statement is any language that refers to the company's / group's policies in regards to supplier diversity, with the goal of procuring goods and services from diverse businesses. Points were allotted to companies that reported the existence of supplier diversity policy statements. **Point Values:** N = 0 Pts/Yes = 6.25 Pts.

Provision of a Supplier Diversity Program: Generally, a supplier diversity program is any formal plan and / or structure that has been set up specifically for the company / group to implement its supplier diversity policy statements. Points were allotted to companies who had supplier diversity programs. **Point Values:** N = 0 Pts/Yes = 6.25 Pts.

Meets the Median Diverse Spend: Throughout this process, one of the key considerations to benchmarking the diverse procurement dollars among companies centered on incorporating an equitable method to determine whether or not a company met or surpassed the median diverse spend, or the amount of money a company spends with its diverse suppliers. All respondent companies submitted survey reports that included information on their diverse spend and supplier diversity efforts. Companies were evaluated relative to its company size as derived from the total California premiums the company collected during each reporting period. Based on these parameters, companies could earn points based on the extent to which they met or exceeded the median diverse spend among the diverse business categories, including Women Business Enterprises (WBE), Minority Business Enterprise (MBE), LGBT Business Enterprise (LGBTBE), Veteran-Owned Business Enterprise (VOBE), Disabled Veteran Business Enterprise (DVBE), or Multi-Certified Business Enterprise (MCBE), which is any combination of the aforementioned diverse business categories. Thus, if a company's reported diverse spend met that of the median diverse spend for its company size, then it earned 6.25 points.

Company Size

- **Level 1:** \$2+ billion in California premiums, annually
- **Level 2:** \$500 million to \$1.99 billion in California premiums, annually
- **Level 3:** \$75 million to \$499 million in California premiums, annually

Requires/Encourages Primary Suppliers to Subcontract with Diverse Businesses: Points were allotted to companies that go a step beyond and encourage their own suppliers to subcontract with diverse businesses. **Point Values:** N = 0 Pts/Yes = 6.25 Pts.

Tracks Tier 2 Procurement Spend: Points were allotted to companies that go a step further and track their Tier 2 (subcontractor) procurement spend. **Point Values:** N = 0 Pts/Yes = 6.25 Pts.

Sets Internal Supplier Diversity Goals: Without targets or clear goals, it would be difficult (if not impossible) to measure success. Points were allotted to companies that set supplier diversity goals (separate from overall general diversity goals). **Point Values:** N = 0 Pts/Yes = 6.25 Pts.

Provision of Supplier Diversity Goals linked to Overall Company's Strategic Plan and/or Goals: This practice demonstrates that supplier diversity is a key priority for the company, as a whole. Points were allotted to companies that made said supplier diversity goals part of the overall strategic plan/goal. **Point Values:** N = 0 Pts/Yes = 6.25 Pts.

Community Impact Investment Metrics

The California Organized Investment Network (COIN) conducted the 2021 Community Investment Survey (CIS) Data Call to generate transparency on the amount of capital that insurers held in California community development and green investments between 2016 and 2020.

The total COIN qualified investment holdings increased approximately 75% from \$22 billion in 2016 to \$38 billion in 2020. High Impact Investment holdings increased by 38% from \$6 billion in 2015 to \$8 billion in 2020. Green investment holdings increased by 48% from \$8 billion in 2015 to \$12 billion in 2020.

From 2016 to 2021, the COIN program facilitated \$5.4 billion in impact investments from insurers that will benefit either renewable energy projects or programs geared towards assisting low-to moderate income individuals and families in California. The programs that assist low-to-moderate income individuals and families range anywhere from assisted living, affordable housing and medical, to small business loans.

Taken collectively, the community impact investments create tangible economic, social, and environmental value for the communities in which insurance companies operate. Given the difference in the pre-requisite premium threshold between respondents to the CAIDS (\$75 million) in comparison to the CIS (\$100 million), the CIIM metric is an additional (bonus) set of points as part of the Insurance Diversity Index.

Community Impact Investment Sub-Metric		Maximum Bonus Point Value (5)
A.	% of green investments relative to total assets under management (AUM)	1
B.	% of high impact investments relative to total assets under management (AUM)	1
C.	Overall engagement with the COIN program	3

Community Impact Investment Metrics

Sub-Metric Comments:

The Community Impact Investment Metrics represent an additional opportunity for companies to earn 5 bonus points among respondents that reported to the 2021 Community Investment Survey.

Percent of investments relative to the total assets under management (AUM): From 2019 to 2021, of the total \$5.4 billion in investments received from insurers, 63% was invested in green projects, followed by affordable housing 22%, mixed use 10%, small business funding 4%, and health 1%. During that same period, over 62,000 jobs were created with 50%-or one out of every two jobs-coming from green projects. 28% of newly created jobs came from affordable housing, 13% of jobs came from mixed use projects, 8% came from small business funding, and 2% came from health. COIN-qualified investments provide benefits including affordable housing, homeless shelters, jobs and education training, and care facilities. For purposes of the Diversity Index, COIN investment categories include:

- **Green Investments** - Investments in communities traditionally underserved by the financial markets, and to environmental projects combatting climate change and promoting sustainability in California. These include renewable energy investments, such as wind, solar, and geothermal projects.
- **High Impact Investments** - Investments that are innovative, responsive to community needs, not routinely provided by insurers, or have a high degree of positive impact on the economic welfare of low to-moderate income (LMI) households or areas in California

Within the CIIM point value ranging from 0 - 5, insurance companies were allotted points with respect to the median ranges of each sub-metric relative to its total assets under management.

COIN program engagement: COIN's mission is to guide insurers on making financially sound investments that yield environmental benefits throughout California and/or social benefits within the State's underserved communities. In order to do so, companies must actively engage with the COIN program. There were three components used in determining COIN engagement:

- Creation of an IIM Account - Taking active steps to create an Impact Investment Marketplace account with the COIN program is an effective way to explore investment opportunities that serve California's underserved groups and communities.
- Providing an updated investment policy statement- Taking active steps to draft and update an impact investment policy statement demonstrates a proactive intention to engage in investments that benefit underserved communities.
- Attending COIN-hosted webinars - Attending COIN webinars is another program engagement measuring tool that demonstrates a company's interest and support of the vision and mission of the COIN program.

Appendix A: 2023 Insurance Diversity Index Results

2023 Insurance Diversity Index

The Insurance Diversity Index is based on the Composite Diversity Index - a summation of the Board Diversity Metric (BDM, Max 50 pts), Supplier Diversity Metric (SDM, Max 50 pts), and Community Impact Investment Metric (CIIM, Additional max 5 pts). Listed companies are subject to compliance to the 2022 California Insurance Diversity Survey, and in some cases, the 2021 COIN Community Investment Survey as well. The maximum point value is based on a 100-point scale. Companies that are subject to reporting on the COIN Survey may earn 5 additional points. A (*) denotes that the company was not required to report to the COIN Survey.

NOTE: Companies whose name(s) do not appear in this report with a corresponding Insurance Diversity Index either did not have sufficient data to report and/or were not subject to reporting for the 2022 California Insurance Diversity Survey administration period. If companies desire to be included in future reports, please contact us at Diversity@insurance.ca.gov.

Insurance Diversity Index	Composite Diversity Index Range
Platinum	91 - 100+
Gold	81 - 90
Silver	71 - 80
Bronze	61 - 70

NAIC	Company Name	Diversity Index Level
16270	AFLAC REINSURANCE COMPANY	Bronze
19402	AIG PROPERTY CASUALTY COMPANY	Gold
19232	ALLSTATE INSURANCE COMPANY	Silver
36455	ALLSTATE NORTHBROOK INDEMNITY COMPANY	Silver
19100	AMCO INSURANCE COMPANY	Gold
10111	AMERICAN BANKERS INSURANCE COMPANY OF FLORIDA	Bronze
60380	AMERICAN FAMILY LIFE ASSURANCE COMPANY OF COLUMBUS	Bronze
60526	AMERICAN FAMILY LIFE ASSURANCE COMPANY OF NEW YORK	Bronze
24066	AMERICAN FIRE AND CASUALTY COMPANY	Bronze
60488	AMERICAN GENERAL LIFE INSURANCE COMPANY	Gold
26247	AMERICAN GUARANTEE AND LIABILITY INSURANCE COMPANY	Bronze
19380	AMERICAN HOME ASSURANCE COMPANY	Gold
67989	AMERICAN MEMORIAL LIFE INSURANCE COMPANY	Silver
42978	AMERICAN SECURITY INSURANCE COMPANY	Bronze
40142	AMERICAN ZURICH INSURANCE COMPANY	Bronze
19976	AMICA MUTUAL INSURANCE COMPANY	Bronze
62825	ANTHEM BLUE CROSS LIFE AND HEALTH INSURANCE COMPANY	Silver
28207	ANTHEM INSURANCE COMPANIES, INC.	Silver

Appendix A: 2023 Insurance Diversity Index Results

(CONTINUED)

Insurance Diversity Index

The Insurance Diversity Index is based on the Composite Diversity Index - a summation of the Board Diversity Metric (BDM, Max 50 pts), Supplier Diversity Metric (SDM, Max 50 pts), and Community Impact Investment Metric (CIIM, Additional max 5 pts). Listed companies are subject to compliance to the 2022 California Insurance Diversity Survey, and in some cases, the 2021 COIN Community Investment Survey as well. The maximum point value is based on a 100-point scale. Companies that are subject to reporting on the COIN Survey may earn 5 additional points. A (*) denotes that the company was not required to report to the COIN Survey.

NOTE: Companies whose name(s) do not appear in this report with a corresponding Insurance Diversity Index either did not have sufficient data to report and/or were not subject to reporting for the 2022 California Insurance Diversity Survey administration period. If companies desire to be included in future reports, please contact us at: Diversity@insurance.ca.gov

Insurance Diversity Index	Composite Diversity Index Range
Platinum	91 - 100+
Gold	81 - 90
Silver	71 - 80
Bronze	61 - 70

NAIC	Company Name	Diversity Index Level
61069	ANTHEM LIFE INSURANCE COMPANY	Silver
61557	BLUE SHIELD OF CALIFORNIA	Gold
87726	BRIGHTHOUSE LIFE INSURANCE COMPANY	Silver
93432	C.M. LIFE INSURANCE COMPANY*	Silver
18767	CHURCH MUTUAL INSURANCE COMPANY	Bronze
67369	CIGNA HEALTH AND LIFE INSURANCE COMPANY	Silver
62626	CMFG LIFE INSURANCE COMPANY	Silver
71730	CONTINENTAL AMERICAN INSURANCE COMPANY	Bronze
18961	CRESTBROOK INSURANCE COMPANY	Gold
11681	CSAA AFFINITY INSURANCE COMPANY	Silver
10921	CSAA FIRE & CASUALTY INSURANCE COMPANY*	Silver
37770	CSAA GENERAL INSURANCE COMPANY	Silver
15539	CSAA INSURANCE EXCHANGE	Silver
10675	CSAA MID-ATLANTIC INSURANCE COMPANY	Silver
42960	CSAA MID-ATLANTIC INSURANCE COMPANY OF NEW JERSEY	Silver
10847	CUMIS INSURANCE SOCIETY, INC.	Silver
10358	ENCOMPASS INSURANCE COMPANY	Silver
30210	ESURANCE PROPERTY AND CASUALTY INSURANCE COMPANY	Silver
39306	FIDELITY AND DEPOSIT COMPANY OF MARYLAND*	Bronze
93696	FIDELITY INVESTMENTS LIFE INSURANCE COMPANY	Silver

Appendix A: 2023 Insurance Diversity Index Results

(CONTINUED)

2023 Insurance Diversity Index

The Insurance Diversity Index is based on the Composite Diversity Index - a summation of the Board Diversity Metric (BDM, Max 50 pts), Supplier Diversity Metric (SDM, Max 50 pts), and Community Impact Investment Metric (CIIM, Additional max 5 pts). Listed companies are subject to compliance to the 2022 California Insurance Diversity Survey, and in some cases, the 2021 COIN Community Investment Survey as well. The maximum point value is based on a 100-point scale. Companies that are subject to reporting on the COIN Survey may earn 5 additional points. A (*) denotes that the company was not required to report to the COIN Survey.

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Insurance Diversity Index	Composite Diversity Index Range
Platinum	91 - 100+
Gold	81 - 90
Silver	71 - 80
Bronze	61 -70

NAIC	Company Name	Diversity Index Level
50814	FIRST AMERICAN TITLE INSURANCE COMPANY	Bronze
21253	GARRISON PROPERTY AND CASUALTY INSURANCE COMPANY	Silver
24732	GENERAL INSURANCE COMPANY OF AMERICA	Bronze
64246	GUARDIAN LIFE INSURANCE COMPANY OF AMERICA (THE)	Silver
22357	HARTFORD ACCIDENT AND INDEMNITY COMPANY	Bronze
29424	HARTFORD CASUALTY INSURANCE COMPANY	Bronze
19682	HARTFORD FIRE INSURANCE COMPANY	Bronze
37478	HARTFORD INSURANCE COMPANY OF THE MIDWEST*	Bronze
70815	HARTFORD LIFE AND ACCIDENT INSURANCE COMPANY	Bronze
30104	HARTFORD UNDERWRITERS INSURANCE COMPANY	Bronze
66141	HEALTH NET LIFE INSURANCE COMPANY	Silver
11005	HOMESITE INSURANCE COMPANY OF CALIFORNIA	Bronze
13927	HOMESITE INSURANCE COMPANY OF THE MIDWEST	Bronze
73288	HUMANA INSURANCE COMPANY	Bronze
29742	INTEGON NATIONAL INSURANCE COMPANY	Silver
64017	JEFFERSON NATIONAL LIFE INSURANCE COMPANY	Gold
65838	JOHN HANCOCK LIFE INSURANCE COMPANY (U.S.A.)	Bronze
42404	LIBERTY INSURANCE CORPORATION	Bronze
19917	LIBERTY INSURANCE UNDERWRITERS, INC.	Bronze
23035	LIBERTY MUTUAL FIRE INSURANCE COMPANY	Bronze

Appendix A: 2023 Insurance Diversity Index Results

(CONTINUED)

2023 Insurance Diversity Index

The Insurance Diversity Index is based on the Composite Diversity Index - a summation of the Board Diversity Metric (BDM, Max 50 pts), Supplier Diversity Metric (SDM, Max 50 pts), and Community Impact Investment Metric (CIIM, Additional max 5 pts). Listed companies are subject to compliance to the 2022 California Insurance Diversity Survey, and in some cases, the 2021 COIN Community Investment Survey as well. The maximum point value is based on a 100-point scale. Companies that are subject to reporting on the COIN Survey may earn 5 additional points. A (*) denotes that the company was not required to report to the COIN Survey.

NOTE: Companies whose name(s) do not appear in this report with a corresponding Insurance Diversity Index either did not have sufficient data to report and/or were not subject to reporting for the 2022 California Insurance Diversity Survey administration period. If companies desire to be included in future reports, please contact us at: Diversity@insurance.ca.gov.

Insurance Diversity Index	Composite Diversity Index Range
Platinum	91 - 100+
Gold	81 - 90
Silver	71 - 80
Bronze	61 - 70

NAIC	Company Name	Diversity Index Level
23043	LIBERTY MUTUAL LIFE INSURANCE COMPANY	Bronze
65498	LIFE INSURANCE COMPANY OF NORTH AMERICA	Silver
65315	LINCOLN LIFE ASSURANCE COMPANY OF BOSTON*	Silver
65676	LINCOLN NATIONAL LIFE INSURANCE COMPANY (THE)	Silver
65935	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY	Silver
63312	MASSMUTUAL ASCEND LIFE INSURANCE COMPANY	Silver
86126	MEMBERS LIFE INSURANCE COMPANY	Silver
25321	METROPOLITAN DIRECT PROPERTY AND CASUALTY INSURANCE COMPANY	Silver
65978	METROPOLITAN LIFE INSURANCE COMPANY	Silver
97136	METROPOLITAN TOWER LIFE INSURANCE COMPANY	Silver
66168	MINNESOTA LIFE INSURANCE COMPANY	Silver
71412	MUTUAL OF OMAHA INSURANCE COMPANY*	Bronze
11991	NATIONAL CASUALTY COMPANY*	Gold
12832	NATIONAL GENERAL PREMIER INSURANCE COMPANY	Silver
19445	NATIONAL UNION FIRE INSURANCE COMPANY OF PITTSBURGH, PA	Gold
28223	NATIONWIDE AGRIBUSINESS INSURANCE COMPANY	Gold
25453	NATIONWIDE INSURANCE COMPANY OF AMERICA	Gold
92657	NATIONWIDE LIFE AND ANNUITY INSURANCE COMPANY	Gold
66869	NATIONWIDE LIFE INSURANCE COMPANY	Gold
23787	NATIONWIDE MUTUAL INSURANCE COMPANY	Gold

Appendix A: 2023 Insurance Diversity Index Results

(CONTINUED)

2023 Insurance Diversity Index

The Insurance Diversity Index is based on the Composite Diversity Index - a summation of the Board Diversity Metric (BDM), Supplier Diversity Metric (SDM), and Community Impact Investment Metric (CIIM) points. Companies contained are subject to compliance as part of the California Insurance Diversity Survey and COIN Community Investment Survey. (Cumulative Max 105-Point Scale)

NOTE: Companies whose name(s) do not appear in this report with a corresponding Insurance Diversity Index either did not have sufficient data to report and/or were not subject to reporting for the 2022 California Insurance Diversity Survey administration period. If companies desire to be included in future reports, please contact us at Diversity@insurance.ca.gov.

Insurance Diversity Index	Composite Diversity Index Range
Platinum	91 - 100+
Gold	81 - 90
Silver	71 - 80
Bronze	61 - 70

NAIC	Company Name	Diversity Index Level
91626	NEW ENGLAND LIFE INSURANCE COMPANY	Silver
91596	NEW YORK LIFE INSURANCE AND ANNUITY CORPORATION	Silver
66915	NEW YORK LIFE INSURANCE COMPANY	Silver
69000	NORTHWESTERN LONG TERM CARE INSURANCE COMPANY	Silver
67091	NORTHWESTERN MUTUAL LIFE INSURANCE COMPANY (THE)	Silver
24074	OHIO CASUALTY INSURANCE COMPANY (THE)	Bronze
24082	OHIO SECURITY INSURANCE COMPANY	Bronze
88080	OMAHA HEALTH INSURANCE COMPANY	Bronze
13100	OMAHA INSURANCE COMPANY	Bronze
67466	PACIFIC LIFE INSURANCE COMPANY	Silver
34690	PROPERTY AND CASUALTY INSURANCE COMPANY OF HARTFORD	Bronze
79227	PRUCO LIFE INSURANCE COMPANY	Silver
86630	PRUDENTIAL ANNUITIES LIFE ASSURANCE CORPORATION	Silver
68241	PRUDENTIAL INSURANCE COMPANY OF AMERICA (THE)	Silver
24740	SAFECO INSURANCE COMPANY OF AMERICA	Bronze
39012	SAFECO INSURANCE COMPANY OF ILLINOIS*	Bronze
15580	SCOTTSDALE INDEMNITY COMPANY	Gold
93742	SECURIAN LIFE INSURANCE COMPANY	Silver
11000	SENTINEL INSURANCE COMPANY, LTD.	Bronze
71420	SIERRA HEALTH AND LIFE INSURANCE COMPANY, INC.	Silver
35076	STATE COMPENSATION INSURANCE FUND	Bronze
25143	STATE FARM FIRE AND CASUALTY COMPANY	Silver
25151	STATE FARM GENERAL INSURANCE COMPANY	Silver

Appendix A: 2023 Insurance Diversity Index Results

(CONTINUED)

2023 Insurance Diversity Index

The Insurance Diversity Index is based on the Composite Diversity Index - a summation of the Board Diversity Metric (BDM, Max 50 pts), Supplier Diversity Metric (SDM, Max 50 pts), and Community Impact Investment Metric (CIIM, Additional max 5 pts). Listed companies are subject to compliance to the 2022 California Insurance Diversity Survey, and in some cases, the 2021 COIN Community Investment Survey as well. The maximum point value is based on a 100-point scale. Companies that are subject to reporting on the COIN Survey may earn 5 additional points. A (*) denotes that the company was not required to report to the COIN Survey.

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Insurance Diversity Index	Composite Diversity Index Range
Platinum	91 - 100+
Gold	81 - 90
Silver	71 - 80
Bronze	61 - 70

NAIC	Company Name	Diversity Index Level
69108	STATE FARM LIFE INSURANCE COMPANY	Silver
25178	STATE FARM MUTUAL AUTOMOBILE INSURANCE COMPANY	Silver
80802	SUN LIFE ASSURANCE COMPANY OF CANADA	Bronze
69345	TEACHERS INSURANCE AND ANNUITY ASSOCIATION OF AMERICA	Silver
56014	THRIVENT FINANCIAL FOR LUTHERANS	Bronze
60142	TIAA-CREF LIFE INSURANCE COMPANY	Silver
27120	TRUMBULL INSURANCE COMPANY	Bronze
29459	TWIN CITY FIRE INSURANCE COMPANY	Bronze
85766	UNITED CONCORDIA INSURANCE COMPANY	Bronze
69868	UNITED OF OMAHA LIFE INSURANCE COMPANY	Bronze
25941	UNITED SERVICES AUTOMOBILE ASSOCIATION	Silver
72850	UNITED WORLD LIFE INSURANCE COMPANY	Bronze
79413	UNITEDHEALTHCARE INSURANCE COMPANY	Silver
25968	USAA CASUALTY INSURANCE COMPANY	Silver
18600	USAA GENERAL INDEMNITY COMPANY	Silver
69663	USAA LIFE INSURANCE COMPANY	Silver
70238	VARIABLE ANNUITY LIFE INSURANCE COMPANY (THE)	Gold
42285	VETERINARY PET INSURANCE COMPANY	Gold
44393	WEST AMERICAN INSURANCE COMPANY	Bronze
16535	ZURICH AMERICAN INSURANCE COMPANY	Bronze
90557	ZURICH AMERICAN LIFE INSURANCE COMPANY	Bronze

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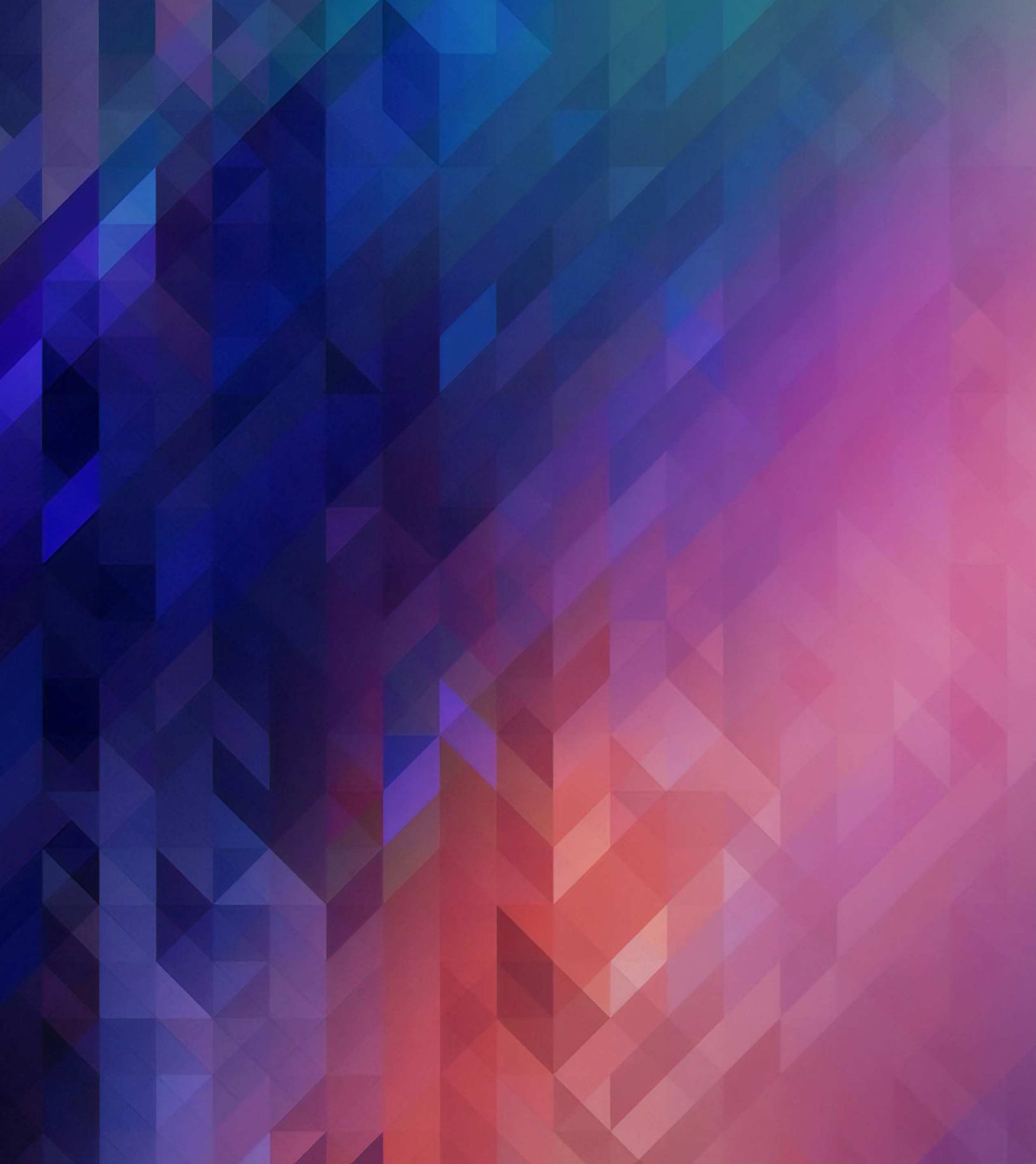
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